

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

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1. Overview of the tax-benefit system

Unemployment insurance is compulsory for every insured employees, private entrepreneurs and business partners specified in Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (hereinafter: SSE), except pensioners entitled to draw pensions on their own right (and further persons specialised in SSE). Unemployment benefit is paid for a maximum of 90 days.

Social assistance is the ultimate financial aid available. Non means-tested family and child-care benefits are available for parents raising a child. In addition, specific means-tested child-care benefits may be claimed as well. Home maintenance aid is provided by the local government.

The tax unit is the individual.

1.1. Average Worker wage (AW)

The AW value for 2012 HUF is 2 749 566.

2. Unemployment insurance

Applicable statutory basis: Act IV of 1991 on Promoting Employment and Providing for the Unemployed and Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (SSE). Basic principles: Based on principles of social insurance, financed by employers' and employees' labour market contributions and central state budget subsidies, providing earnings-related benefits to employees. Field of application: All insured employees, private entrepreneurs and business partners specialised in SSE except employed pensioners entitled to draw pensions on their own right and further persons specialised in SSE.

The National Employment Service is the administrative body of the employment system. It consists of the National Employment Office, the County Labour Centres, and the István Türr Training and Research Centre (with its local offices).

2.1 Conditions for receipt

2.1.1 Employment conditions

Main conditions:

- involuntary unemployment (has the conditions necessary for the establishment of an employment relationship, doesn't have exceeding renunciation initiated by the employer),
- no entitlement for old-age, invalidity pension or work accident-related disability pension,
- not pursuing studies as a full-time student at any educational institution,
- seeking employment (actively searching for a job on his own accord),
- co-operation with the labour centre (notifies the competent employment centre concerning any change in his/her status),
- enters into a job-seeking agreement/plan with the competent employment centre (in which the unemployed person undertake to document his/her attempts in job-seeking)
- accepts a job offer when presented for a suitable employment,
- has been admitted in the register of the labour centre as a job-seeker.

The start of the job-seeker benefit's payment can differ in the cases when the employee has voluntary quit his/her job, or when the employer has abolished the employment relationship with an extraordinary notice. In these cases the starting time of the payment must be postponed by 90 days following the date of registration.

2.1.2 Contribution conditions

Qualifying period: payment of contributions for at least 360 days during the previous 3 years qualifies for jobs-seekers' benefit. The job-seeker is granted job-seeker benefit for 90 days. (It is worth to say, that a tax-paying period can be taken into respect only once).

The labour market contribution paid by the employee is 1.5 per cent of his/her base for social security contributions. Employers and insured private entrepreneurs pay social contribution tax, from which 1/27 part is transferred to the National Employment Fund

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2.2 Calculation of benefit amount

2.2.1 Calculation of the base of job-seeker benefit

The amount of job-seeker benefit shall be 60 % of the base of job-seeker benefit, whereas its upper limit shall be 100 % of the amount of the minimum wage on the first day of eligibility for job seeker benefit.(93 000 HUF/month).

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Those claiming job-seeker benefits may not pursue any gainful activity. The only two exceptions are short term employment for up to 90 days, and employment under the scope of Act LXXV of 2010 on Simplified Employment (occasional employment and seasonal employment). During the time of short term employment, the benefit ceases to be payable (must be suspended). Payment of job-seeker benefits shall be discontinued if the job-seeker is engaged in short-term gainful activities, not to exceed ninety days, provided the notification obligation (to the employment centre) was satisfied.

2.3 Tax treatment of benefit and interaction with other benefits

Job-seeker benefits are subject to the full range of income taxation. The pension insurance contribution is 10 %, and the years on benefit count as qualifying period for pension calculation purposes. The benefit is not subject to health contribution (and therefore the claimant will not receive cash benefits eg. sick pay for disease during the benefit period).

2.4 Benefit duration and waiting periods

One day of job-seeker benefit is paid for every 5 days of insurance contribution period, up to a maximum of 90 days.

The claimant can re-apply only in case of conditions as in 2.1.2. It's typical in the field of agricultural employees.

2.5 Treatment of particular groups

Particular groups (disadvantaged groups) receive special wage support and wage cost support.

2.5.1 Young persons

No specific rules for young persons, the general rules of job-seeker benefit entitlement conditions apply.

2.5.2 Older workers

According to Act CLXVII of 2011 on the termination of early retirement pension, on benefits prior to retirement age and on benefits for the official members of the armed forces, the following rules apply from 1 January 2012.

The former early retirement pensions (advanced pension (*Előrehozott öregségi nyugdíj*) and advanced pension with reduced sum (*Csökkentett összegű előrehozott öregségi nyugdíj*), early retirement pension (*Korkezdvezményes öregségi nyugdíj*), miner's pension (*bányásznyugdíj*), early retirement pension paid by the employer (*korengedményes nyugdíj*), pension for artists (*művésznnyugdíj*), pension for mayors

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(*polgármesteri nyugdíj*), pension for Members of the European Parliament (MEPs) (*EP képviselők nyugdíja*), pension for Members of the Parliament (MPs) (*országgyűlési képviselők nyugdíja*) are transformed into benefits prior to retirement age (*korhatár előtti ellátás*) and are no longer paid as pensions, they are social benefits. These benefits are financed from the National Family and Social Policy Fund. By way of exception, the 40 years' eligibility period for women (*nők 40 év jogosultsági idővel*) is still paid as an old-age pension.

2.5.3 Others if applicable

Entrepreneurial benefits were cancelled from the 1 of January 2010. From this date the provisions for job-seeker benefit refer to entrepreneurs as well.

Part time employees:

If the average income is lower than the minimum amount of the job-seekers benefit, the job-seekers benefit shall be equal to the average income in both periods of eligibility.

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3. Unemployment assistance¹

There is only one type of the job-seeker aid. This type shall be granted for jobseekers, who have max. 5 years to reach retirement age.

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

¹ Please note that job-seeker aid has been abolished as of September 1, 2011 (except for older people before pension), as detailed in point 12.2.

4. Social assistance

Benefit for people in active age:

It is provided within the social assistance scheme in order to ensure a minimum standard of living for those, who are not employed, and who are in active age (18-62 years). The eligibility is depending on the income of the family. The benefit for persons in active age has no time limit.

There are two groups of persons entitled to benefit for persons in active age:

- a) Persons capable of performing work are entitled to **employment substituting support**. Persons who belong to this scope are obliged to cooperate with the Public Employment Service and to take part in public work. For the period of public work, wage is paid (at least the minimum wage of the public work). The wage subsidizing benefit is paid, when the person is not involved into public work or training. The entitlement to the benefit is terminated in case the person cannot prove that in the previous year (s)he pursued a gainful activity, or took part in a training programme or in a labour market programme for at least 30 days. When social assistance is included in the modelling, the person is assumed to remain entitled to the benefit throughout their unemployment spell.
- b) Persons incapable of performing work are entitled to **regular social benefit** (health impaired, people who have less than five years before retirement age, as well as persons who bring up a child under 14, and the attendance of the child at an institution providing daily care is not ensured. Furthermore, the competent municipality may set other conditions in its local decree connected to the family circumstances, health or mental status of the claimant, in which case the person entitled to benefit for persons in active age is defined as a person incapable of performing work.). The calculation of regular social benefit is determined on the grounds of the composition and income of the family.

4.1 Conditions for receipt

Those entitled to benefit for persons in active age are those who have completed their 18th year of age, and:

- a) Have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %), or are in receipt of blind persons' annuity or of disability assistance.
- b) Being unemployed, but no longer entitled to income supplement for the unemployed (or not entitled for income supplement at all, in this case a certain period of cooperation with the public employment service is needed)

and having no alternative source of living.

A person does not have alternative source of living, if the family's monthly income per consumption unit does not exceed 90 % of the minimum old-age pension. The definition of consumption unit: see 4.2.1

Only one person in a family can be eligible to the benefit for persons in active age, except for the case when two claimants are entitled to different cash benefits (one person is entitled to **employment substituting support** (*foglalkoztatást helyettesítő támogatás*), the other to regular social benefit (*rendszeres szociális segély*). Given the small proportion of the eligible population who receive regular social benefit, the modelling focusses on employment substituting support, and so only one member of the family is eligible for social assistance.

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Persons who are entitled to employment substituting support are obliged to cooperate with the Public Employment Service and to take part in public work. Persons who are entitled to regular social allowance have to cooperate with the designated body in order to remain entitled to the benefit. The cooperation involves registering and creating and fulfil an adaptation programme.

The benefit can be received at the same time with other social benefits or incomes.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The monthly amount of the the wage subsidizing benefit is fixed, it is equal to 80 % of the minimum old-age pension (22 800 HUF). For the period of work wage is paid (at least the the minimum wage of the public work, the gross amount of which is 71 800 HUF, the net amount is 47 029 HUF).

The regular social benefit is calculated with the help of “consumption unit”, which shows the structure of the family. Instead of a fixed amount, the benefit depends on the income of the family. The income of the family is supplemented to 90 % of the minimum old-age pension per consumption unit.

The calculation of social assistance:

$SA = (0.9 * \text{minimum old age pension} * \text{consumption unit}) - \text{household income}$

The **consumption unit** is as follows:

The first adult: 1,0 (+ 0,2, if he/she is a single parent)

Spouse or partner: 0,9

First and second child: 0,8

Third and other children: 0,7

Disabled child: 1,0 (if there are disabled and healthy children, the first healthy child counts 0,8).

If the first adult or the spouse (partner) is receiving disability benefit, they count 1,0+0,2, or 0,9+0,2

The amount of the social assistance is limited: the maximum amount is 90 % of the net minimum wage of the public work, 42 326 HUF in 2012. In case in one family two types of cash benefits (regular social benefit and employment substituting support) are paid, the total amount of the two cash benefits cannot exceed 90 % of the net public employment minimum wage.

As for the eligibility in the family to the benefit for people in active age, please see point 4.1.

4.2.1.1 Irregular additional payments

The benefit claimant may receive another supports (e.g. heating supplement, seasonal supplement) if he/she complies with the conditions of the measure.

4.2.1.2 Obligations of family members

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4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Various benefits and allowances for persons suffering from serious health damage, such as blind person's annuity or disability assistance etc. do not count as income. Benefit recipients are allowed to perform temporary work (casual work), but the income is calculated in the benefit amount.

In the **household income** housing benefits are not included.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation

4.4 *Benefit duration and waiting periods*

No time limit. It depends only on the way of discontinuing

The unemployed person's social assistance can be re-applied within 36 months from expiring, without fulfilling the preliminary collaboration obligation (if the other entitlement conditions are existing).

4.5 *Treatment of particular group*

No.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. **Housing benefits for rented accommodation**

The home maintenance aid is a means-tested benefit, which is provided as social assistance by the local government for a family or individual who lives in a home not exceeding a specified minimum size, provided that there is no income from the use of that home.

5.1 **Conditions for receipt**

The benefit is particularly justified if (normative type):

- the monthly income per consumption unit does not exceed 250% of the current minimum amount of old age pension.
- Or: at the time of taking part in debt reducing service (there are no other conditions in this case)

The claimant is not entitled if the property of his/her family exceeds the limit defined by law. The limit is set as follows: the value of one piece of property cannot exceed the thirtyfold of the minimum old-age pension or the value of the whole property cannot exceed the eightyfold of the minimum old-age pension. Property includes usable real estate, the rights associated with that real estate and vehicles. However, it does not include the real estate where the claimant lives, the right which is connected to this real estate and the vehicle which is used to transport a mobility-impaired person.

The calculation of the consumption unit in the case of home maintenance aid is as follows:

- a) first adult: 1,0
- b) second adult: 0,9
- c) subsequent adults: 0,8
- d) first and second child: 0,8
- e) subsequent children: 0,7

If an adult is receiving family allowance in higher amount or disability benefit, than they count +0,2.

If a child is receiving family allowance in higher amount, than (s)he counts +0,2.

A single parent counts +0,2.

5.2 **Calculation of benefit amount**

The calculation of home maintenance aid:

The amount of the home maintenance aid is the product of the „**acknowledged cost of the home maintenance**” and the „**benefit rate**”.

„**Acknowledged cost of the home maintenance**”: the product of the acknowledged flat size and the acknowledged cost per m² defined in the Act on State Budget.

Acknowledged flat size:

- one-person household: 35 m²,
- household with two people: 45 m²,
- household with three people 55 m²,
- household with four people 65 m²,
- household with more than four people: 5 m² increase/each additional person.

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Acknowledged cost per m² in 2012: 450 HUF

„Benefit rate” (BR):

$$BR = 0,3 - \frac{I - 0,5 * MOP}{MOP} * 0,15$$

I: the income per consumption unit in the household

MOP: minimum old-age pension (in 2012: 28 500 HUF)

5.2.1 *Calculation of gross benefit*

The minimum amount of the benefit is 2,500 HUF.

5.2.2 *Income and earnings disregards*

No.

5.2.3 *Costs eligible for housing benefits*

The expenses listed in the Act III of 1993 on Social Administration and Social Benefits:

1. house rent or sublease fee
2. instalment to redeem a home loan by a financial institution
3. distance heating service fee
4. common costs
5. sewer use fee
6. garbage removal costs
7. costs of electricity, water and gas consumption, and fuel.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation.

5.4 *Treatment of particular groups*

No.

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

The Hungarian family support system is a universal scheme, thus every Hungarian national, long-term residents, migrant workers or refugees who are parents (foster and stepparents as well) or guardians (including foster home managers), and who have children up to a certain age (23), may be entitled to various family support benefits. These benefits are financed out of the central budget. The family support system provides:

- family allowance,
- child tax allowance
- regular child protection allowance
- irregular child protection support

Families in need are entitled to regular child protection allowance

Irregular child protection support is social assistance-based, provided by the local government for families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.1 Conditions for receipt

General eligibility for every parent raising a child to family allowance. This benefit is provided from birth to the termination of studies in compulsory education system (usually 0- 18 years), then for secondary school education or vocational training, up to 23 years of age.

The child tax allowance reduces the tax base of parents raising child(ren).

Families in need are entitled to regular child protection allowance.

She/he is entitled to regular child protection allowance if the per capita monthly income in the family looking after the child does not exceed 140% (as from 1st September 2009) of the prevailing lowest amount of old-age pension, in case of single-parent families, or the child is permanently ill or seriously disabled, or if the child is more than 18 years old and attending to secondary or higher education, in any other case if the per capita monthly income in the family looking after the child does not exceed 130% (as from 1st September 2009) of the prevailing lowest amount of old-age pension.

(The aim of determining such an entitlement is to justify that the child according to his social conditions is entitled to get the normative allowance of daily meals, free of charge textbooks and other support).

Irregular child protection support is paid for families with temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family allowance: (the amounts remain same as in 2008)

for one-child family:	12 200 HUF,
for one-child, single-parent family:	13 700 HUF,
for two-children family:	13 300 HUF per child,

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for two-children, single parent family:	14 800 HUF per child,
for families with three or more children:	16 000 HUF per child,
for single parent families with 3 or more children:	17 000 HUF per child,
for families with severely ill or disabled child:	23 300 HUF per child,
for single parent families with severely ill or disabled child	25 900 HUF per child,
in case the child concerned is in foster home:	14 800 HUF
in the case of full aged disabled child:	20 300 HUF

The **child tax allowance** reduces the tax base of parents raising child(ren). The gross monthly amount of the deduction is 62 500 HUF per child in case of one and two children and 206 250 HUF per child in case of three or more children. In net terms it means 10 000 HUF per child for families with one child or two children, and 33 000 HUF per month per child for families with three or more children. The allowance can be claimed by either of the parents, or can be split between the parents.

In the framework of regular child protection allowance cash benefit (2 x 5 800 HUF, for the bearer who is a pensioner or entitled to old-age allowance, 2 x 8 400 HUF in 2011), subsidized meals for children and other kinds of support are provided. Each year the amount of the support will be established by the Parliament, in the act on the budget. Besides the regular child protection allowance, the bearer is entitled to a cash benefit of 6 270 HUF/month/child. It is connected to the child protection allowance (rendszeres gyermekvédelmi kedvezmény), former regular child protection support (rendszeres gyermekvédelmi támogatás). It is dedicated to a special target group: the bearers (or guardians), who receive a pension, a pension-like benefit, or old-age allowance. That means that parents are not eligible to this benefit. The eligible persons are usually the grandparents as guardians.

Irregular child protection support: the amount is designated by decree of the respective local government.

6.2.1.1 Irregular additional payments

There's no irregular additional payment.

6.2.2 Income and earnings disregards

See 6.1.

6.3 Tax treatment of benefit and interaction with other benefits

Not subject to tax

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

Single parents and parents with severely ill or disabled child are entitled to higher amounts of benefits. (see 6.2.1.)

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7. Childcare for pre-school children

Participation rates in kindergarten (school year 2011/2012):

Under 3 years	7,5 %
3 years	74,2 %
4 years	93,2 %
5 years	95,6 %
6 years	70,9 %
7 years	3,4 %.

In numbers it means 7 226 children under 3 years and 333 957 children between 3 and 7 years.

Family daycare

The family daycare is a service where one licensed provider can look after 5 children (or 7 if there is a full-time assistant) in the provider's home or at another suitable place.

One of the reasons for introducing family daycare for children (családi napközi) in Hungary was to offer an option - to those smaller settlements where there are not many young children and it is not feasible to maintain a nursery - which is flexible enough to meet different needs and demands. Compared to center-based childcare, family daycare services can care for a wider age-group (children between 6 months and 14 years of age) and smaller numbers with lower costs.

Establishing family daycare has served two goals: 1) to provide an alternative solution to nurseries, kindergartens and after-school care, complementing their capacities and increasing the number of children in ECEC services; and 2) to help parents of young children to enter the labour market, while creating jobs. The size and operation based on family life of family daycare providers make them especially suitable even for the smallest settlements.

Their flexibility significantly contributes to coordinating the needs of families and work places, to creating jobs in the neighborhood (community) and to running services, which cost less than maintaining nurseries and kindergartens.

According to the National Statistical Office data, there were 1 223 family daycare services in 2012, providing altogether 8 265 places in the country.

7.1 Out-of-pocket childcare fees paid by parents

The Act XXXI of 1997 on the Protection of Children includes the rules for calculating parental fees for children's meals and the available normative support (discounts).

At the centre-based institutes providing the day-time provisions for children the care is free of charge, the family have to pay only for the meal. The average fee is: 6 000 Ft/person/month. The basis of calculation: the cost of the raw material for one person.

Under the current rules there are three groups based on the fee payable for the meals:

- those receiving free meals
- those paying 50% of cost
- those paying full cost.

Free of charge meals are provided for children entitled to regular child protection allowance in nurseries, kindergartens and in the first eight grades of primary schools.

After children suffering from permanent disease or being seriously disabled or those living in families with 3 or more children, or children who are eligible for “regular child protection allowance” and already finished their studies in primary school, but study further in some other school full-time, the families are entitled to pay 50% reduced fee for the daily meals..

According to the data of the National Statistical Office, 37 000 children attend nurseries (ECEC services for children under the age of 3). All of them (100%) receive meals in the nursery. 15%, that is, 4 487 children receives free meals, and 13% pays only 50% of the cost. Based on the data, about one third of children attending nurseries receive some support for the cost of meals.

334 568 children received meals in kindergarten, among them 105 367 received it free of charge.

The fees are not tax deductible.

The liability for social support gives possibility for reduction of the fees.

The law on the national budget regulates the financing source of free or reduced cost meals and the amount of the normative support for this purpose.

At the form of the child-minding care at home the fee is based upon the hours being in care, but cannot be more than 15% of the monthly income of the parents. If the care includes meal, cannot be more than 20% of that.

7.2 *Child-care benefits*

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. Pregnancy-confinement benefit is insurance-based, for the period of the maternity leave, namely 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). Child care fee is insurance based, provided after the period of pregnancy confinement benefit as long as the insurance period of the parent takes, but maximum to the age of 2 years of the child. Child home care allowance (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. Child raising support: entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years.

Regular child protection support dissolved into the family allowance, the families in need are entitled to **regular child protection allowance** (see section 6).

Irregular child protection support is social assistance-based, provided by the local government for families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living. (see section 6).

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7.2.1 *Conditions for receipt*

Birth grant is conditional upon that the mother completed at least four prenatal medical examinations (one in case of premature birth).

Pregnancy-confinement benefit is provided if the insured mother (or adopting mother) was insured for at least 365 days during the last two years prior to childbirth and gave birth to the child during being insured or within 42 days after having been terminated the insurance or during paid sick-leave.

Conditions of the child care fee: the parent has to be insured, and needs at least 365 days of insurance during the last two years before delivery, the child lives with the claimant's family, and one of the parents is obliged to stay at home and care for the child.

Child home care allowance: for parents who care for their children aged under 3 years (aged under 10 for disabled children) or for grandparents who care for their grandchildren older than one year in the household of the parent. In case of twins the allowance is paid until children will reach the compulsory schooling age (usually 6 years). Above 1 year of age of the child the parent can work no more than 30 hours a week a day or without time restriction at home (the child can be in a formal childcare centre without losing the allowance). The parent of a sick child can pursue a gainful activity without time restriction above 1 year of age of the child. The parent of twins above 1 year of age can decide to work full time, in this case (s)he receives only the general amount of the child home care allowance. In case (s)he chooses to work no more than 30 hours a week, (s)he is entitled to the higher amount dedicated to twins. The grandparent cannot pursue a gainful activity under 3 years of age of the child, while above 3 years, the beneficiary can pursue a gainful activity no more than 30 hours a week, or without time restriction at home.

Child raising support: see 7.2.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Birth grant: one off lump-sum payment, 225% of the minimum amount of old-age pension per child or 300 % of the minimum of old-age pension per child in case of twin-children.

Pregnancy-confinement benefit: 70% of the daily average gross earnings of the previous year.

Child care fee: the amount of benefit is defined as 70% of the daily average gross earnings of the previous year. Maximum 140% of the minimum wage (HUF 130,200 in 2012). This calculation is based on a minimum wage level of HUF 93.000. As of 1 January 2013, the minimum wage is HUF 98.000.

Child home care allowance: the amount equals to the monthly minimum old age pension (in 2012: 28 500 HUF), in case of twins, the amount is the minimum old age pension per child.

Child raising support: the amount, irrespectively to the number of children in the family concerned, equals to the minimum old age pension.

7.2.2.2 Income and earnings disregards

There are no disregards.

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7.2.3 *Tax treatment of benefit and interaction with other benefits*

1. The pregnancy-confinement benefit is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as taxable income and interact only with child home care allowance. Taxes levied on entire income.
2. Child care allowance is not taxable income. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
3. Child raising support is not taxable income. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
4. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income and can interact with child home care allowance.

Birth grant is not taxable income.

7.2.4 *Treatment of particular groups*

See above.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

None.

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9. Lone-parent benefits

See 6.2.1.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Family tax allowance: For families having children, the basis of income tax can be reduced by the family tax allowance, which amounts to HUF 62,500 per month for each dependent child (for families having one or two children), or HUF 206,250 per month for each dependent child (for families having at least three children).

10.1.1.2 Standard tax credits

Tax credit - The tax credit eliminated – without a transitional period – as of January 1, 2012.

Tax Base

Parallel to the elimination of tax credits, in 2012 super grossing for gross monthly incomes below 202 000 HUF (2 424 000 HUF/year) is eliminated. For incomes above this threshold, the 27% tax base adjustment shall still be temporarily applied – in order to support necessary wage hikes. In order to amend the net wage decrease due to the changes in the tax system, the government has established a compensation mechanism (compensation by employers) which motivates employers to hike wages so that the net worth of salaries can be preserved. As tax break the employer receives from the central administration the costs of a wage increase necessary to maintain the value of net wages above a hike of 5 percent. The compensation is covered by the social contribution tax of 27 percent which has replaced social security contributions paid by the employer.

10.1.3 State and local income taxes

In Hungary there is no local personal income tax system supplementing the central one. More precisely, the total income tax collected is split between the central government and local governments. At the same time, the local governments can levy taxes on sites and buildings, tourist facilities and business activities.

10.2 Treatment of family income

The tax unit is the individual. Spouses are taxed separately.

10.3 Social security contributions and payroll taxes

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Public burden on gross incomes in 2011	
Paid by the employer	Paid by the employee
social contribution tax 27%	Pension contribution 10%
	Health insurance and labour market contribution 8,5% = 4% in-kind health ins.contr. + 3% in cash health ins.contr. + 1,5% labour market contr.
	Personal income tax (27% of employers contr. should be added to the gross wage, above 2.424.000 HUF): 16%

10.3.1 Contributions payable by employees and benefit recipients

Pensions

Employer's contribution rate remains the same and is renamed... The maximum level of yearly income subject to employees' contributions in 2012 is HUF 7 942 200 (daily HUF 21 700).

Sickness

The rate of health security contribution amounts to 67 per cent of gross earnings.

Unemployment

The worker must pay, as employees' contribution, 1.5 per cent of gross earnings.

Note: Only earned income is liable to job-seeker benefit and sickness contributions. That is, workers pay 17,5 per cent and unemployed pay 10 %. The maximum level of yearly income subject to employee' contributions in 2012 is HUF 7 942 200 (daily HUF 21 700).

10.3.2 Contributions payable by employers

Pensions

Sickness

Unemployment

Instead of employers' pension insurance contribution, employers' health insurance contribution and labour market contribution, employers shall pay social contribution tax since 1 January 2012. Only the

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name and the legal nature has changed, the rate (27%) has remained the same. The revenue from social contribution tax is divided among Pension Insurance Fund, Health Insurance Fund and National Employment Fund.

10.3.3 *Payroll taxes*

The training contribution amounts to 1.5 per cent of salaries paid.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

As from October 2005, employers taking on career starters with a '**Start Card**' (which is valid for two years after completing studies before reaching age 25, or, as from January 2010, for one year in case of higher degree before reaching age 30) are liable to a lower rate of social security contribution (10 per cent in the first year of employment, 20 per cent in the second year as opposed to the general 27 per cent rate. In case of career starter with diploma the first supporting period lasts 9 months, the second 3 months with the above mentioned reduced social security contribution). However, this lower rate can only be applied up to 150 per cent of the minimum wage (or 200 per cent in the case of a higher degree).

Supporting Qualified Entry-level job seekers in gaining work experience: Since mid-2009, Labour centres can award grant to help new entrant young people for gaining work experience, essential for their employment. An employer may be eligible for such grant if it undertakes to employ a young entry-level job seeker for a period of at least 1 year in a job that suits his/her qualification.

10.4.2 *Older workers*

Since 2007, employers hiring previously long-term unemployed people over 50 years of age or with only elementary qualification with a '**Start Extra Card**' (which is valid for two years) can apply for a reduction in the employer's social security contributions. The reduction is 100 per cent in the first year of employment. In the second year employers are liable to pay 10 per cent of the gross income as social security contributions. As of January 2011, the target group of the targeted 'Start Extra' contribution allowance has been extended to all job-seekers above the age of 50 or with only elementary qualification looking for job at least for **3 months**.

10.4.3 *Others if applicable*

Since 2007, employers of previously long-term unemployed people or recipients of any of the various child care benefits with a '**Start Plus Card**' (which is valid for two years) are entitled to the same allowance as set out under section 10.4.1.

As of 1 January 2012, the START Plus and START Extra programmes are replaced by the START Bonus programme, as part of which in the event of the employment of job-seekers registered continuously for minimum 3 months and workers returning to the labour market after a period of eligibility for maternity, child care or nursing benefits (or during eligibility for maternity leave), employers may avail themselves of a social contribution tax benefit for a period of one year. The rate of the benefit is twenty-seven per cent of the employee's gross wage but of maximum one and a half times the minimum wage

11. **Part-time work**

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11.1 Special benefit rules for part-time work

11.2 Special tax and social security contribution rules for part-time work

Part-time workers pay the same social security contributions as full-time workers, a contribution calculated as a per cent of earnings. With the revision, and afterwards the abolishment (as of 2009) of the fixed amount health care contribution, tax burden on employers is proportional to hours worked.

Act CXXIII/2004 introduced a **reduced social security contribution for employers** in case of part-time (re)employment of a mother receiving child care benefit and employing parallel the substitute also part-time. Employer is entitled to reduced contribution. Instead of 27 % social security contribution, he can pay only 20% social security contribution in case of part time employment of both employees.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2011 – 1st July 2012

Pensions:

Changes in the pension system in effect from 1 Jan 2012

The Parliament has adopted the **Act CLXVII of 2011 on the termination of early retirement pension (korhatár előtti öregségi nyugdíj), on the benefits prior to retirement (korhatár előtti ellátás) age and on the benefits of the official members of the armed forces** in session of 28 November 2011.

According to Act CLXVII of 2011 **early retirement pensions may not be awarded from the starting date after 31 December 2011**. From 1 Jan 2012 former early retirement pensions will not be paid as pensions, and a **pension could be awarded only after reaching the standard retirement age**. Formerly there have been several generous early retirement options in the pension system. Persons with long service period could claim advanced pension or advanced pension with reduced sum, while person working in certain jobs arduous to health could claim early retirement pension due to hazardous working conditions. Besides, certain professional pensions could be claimed by artists or miners, regardless of age and in case of having at least 25 years service period in the professions specified in the legislation. Special pension legislation sets the rules for armed forces, who could retire in a quite young age, while generous rules applied to former mayors and Members of the Parliament (MPs) as well. Another early retirement option existed when the pension was financed by the employer until reaching retirement age, thus the employee could retire years earlier than his/her relevant retirement age.

The above-mentioned **generous early retirement options will be ceased from 1 Jan 2012**. Necessarily, transitional rules apply to those persons who are currently in receipt of the former early retirement options, although their former benefit will be paid further on not as a pension but as a “benefit prior to retirement”. The benefits are indexed the same way as pensions. The introduction of “benefits prior to retirement” instead of the former early retirement options means the loss of pensioner status for the recipients. Thus it also means losing e.g. eligibility to certain preferences provided to pensioners, e.g. for travelling expenses. Furthermore, person who have acquired the eligibility criteria for the above-mentioned early retirement options but have not claimed their benefits could exercise their right later on, and they as well will be awarded a “benefit prior to retirement” and not a pension. **, they are social benefits**. These benefits are financed from the National Family and Social Policy Fund. The system for persons employed in hazardous to health jobs is also changing in 2012, but in 2012 former rules apply. Persons employed in underground mines and certain ballet dancers could be entitled to “benefits prior to retirement” in the future.

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In designing the rules on benefits prior to retirement the focus has been placed on 3 major areas. Firstly maintaining and creating possibilities in the future for exercising formerly acquired rights. Secondly on the payment of formerly awarded benefits without reduction, excluding service benefit for the armed forces and prior to retirement benefit for MPs. Thirdly on the annual increase of these benefits with the same rules as for pensions.

From 2011-2012

Between 1998 and 2010 mandatory pension system has two pillars and consists of a PAYG mandatory social insurance public pension scheme (1st pillar), mandatory fully funded private pension funds (2nd pillar). Since Nov 2010, the members of private pension funds had the right to switch back to the social security system. People had the right to choose until 31st of January of 2011, most of people decided to remain in the pure private pension scheme. From the 31st of December 2011 the whole social security (27%) contribution flows to the Pension Insurance Fund. The private pension fund members have the possibility of paying into their personal account in the private pension funds voluntary, but the 2nd pillar is not a part of the mandatory pension system in the future.

From January 2012, pensions are indexed to inflation. Before 2012 the indexation was linked to combination of net earnings and inflation (the proportion of these indicators depended on the economic growth).

Changes in the disability system in effect from 1 Jan 2012

The disability pension system is also changing. The focus is still on remaining work capacity, on rehabilitation and leading back to the labour market

On the workday of 20th December 2011, the Parliament has adopted **Act CXCI of 2011 on the benefits for persons with changed work capacity and amendments of certain acts**. This Act is in effect from 1 Jan 2012 and has been promulgated by the Official Journal issue no. 162 of 29th December 2011.

Pursuant to Act CXCI of 2011, disability pensions, accident-related disability pensions, rehabilitation annuities, regular social annuities for persons with ill-health, temporary invalidity annuities and health damage annuities for miners shall not be provided from 1 Jan 2012.

Persons eligible to benefits for persons with changed work capacity are those whose state of health is at 60% or less and who had been insured **for at least 1095 days** within 5 years before submitting the claim, has not been performing any gainful activity neither in Hungary, nor abroad, and does not receive any regular cash benefits. A person may be entitled to benefit for persons with changed work capacity regardless of the length of insurance period provided that they became insured within 180 days after finishing their studies and as such, they had been insured without a break of more than 30 days before submitting the claim, or they received disability pension, accident-related disability pension, rehabilitation annuity or any pension-type benefits for persons with ill-health on 31 Dec 2011.

In the course of complex assessment, the National Rehabilitation and Social Authority (NRSZH) shall examine the percentage of the applicant's state of health, the accessibility to rehabilitation and in the latter case, it shall determine a motion for rehabilitation, and benefits for persons with changed work capacity could be 'rehabilitation benefit' or 'disability benefit'.

A person with changed work capacity is entitled to **rehabilitation benefit**, if he/she could be rehabilitated, or **disability benefit**, in such cases where rehabilitation is not recommended if he/she could not be

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rehabilitated, and the time missing before reaching retirement age does not exceed 5 years. These benefits are financed from the Health Insurance Fund.

Social assistance system:

From 1st September 2011 the **home maintenance aid** (normative type) will be provided if the monthly income per consumption unit does not exceed 250% of the current minimum amount of old age pension. The costs of the maintenance will not be examined. The claimant is not entitled if the property of his/her family exceeds the limit defined by law. The limit is set as follows: the value of one piece of property cannot exceed the thirtyfold of the minimum old-age pension or the value of the whole property cannot exceed the eightyfold of the minimum old-age pension. Property includes usable real estate, the rights associated with that real estate and vehicles. However, it does not include the real estate where the claimant lives, the right which is connected to this real estate and the vehicle which is used to transport a mobility-impaired person.

The regulation of the Social Act on the maximum amount of the benefit for persons in active age has changed from 1st January 2012. The maximum amount of the regular social benefit (one type of benefit for persons in active age) is defined as 90 % of the net public employment minimum wage, when there is only one beneficiary in the family.

(According to the previous regulation the maximum amount was the general minimum wage.) In case in one family two types of cash benefits (regular social benefit and employment substitute support (the name was changed on 1 September 2011)) are paid, the total amount of the two cash benefits cannot exceed 90 % of the net public employment minimum wage. The gross public employment minimum wage (introduced from 1st September 2011) was 57 000 HUF in 2011. As from 1st January 2012 it is 71 800 HUF.

From 1st January 2012 the monthly amount of employment substitute support is reduced to the 80% of the minimum old-age pension (22 800 HUF).

From 1st January 2012 the age limit of the entitlement to regular social benefit (55 years) changed: those persons are entitled to regular social benefit who have not more than five years before the retirement age. Those who are below this age limit are entitled to employment substitute support.

From 1st September 2011, the name of the wage subsidizing benefit (bérpótló juttatás) changed to employment substitute support (foglalkoztatást helyettesítő támogatás).

Employment:

New unemployment benefit system

As of September 1, 2011, the unemployment benefit system underwent far-reaching reforms. As a general rule, all requests for benefits must be assessed on the basis of the rules in effect at the time of submitting the request.

The changes to the types of benefits and their duration

- The two phases of **payment of the job-seekers' benefit** has been abolished according to the new rules. Furthermore, the maximum duration of the benefit has been reduced, instead of the previous 270 days, the benefit can only be paid for max. 90 days.

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- Two types of job-seekers' aid (1: to be paid right after the job-seekers' benefit, 2) established on the basis of 200 days of employment relationship) were abolished.
- The previous 3rd type of job-seekers' aid has been maintained, but renamed „job-seekers' aid before pension". The eligibility conditions are the same, except for the fact that only 90 days of job-seeker benefit is required as an eligibility period, instead of previous 140 days.

Changes to the eligibility requirements for job-seekers' benefits

- **The eligibility period** of the job-seekers' benefit has been **increased** from 4 years **to 5 years**, the qualifying time (time spent in employment) has been **reduced** from 365 days **to 360 days**.
- The 5-year eligibility period **is not extended** by the periods that are usually assimilated to an employment relationship (eg. time of child-care allowance, military service) when the recipient was employed, self-employed or **participated in a public works programme**.
- Right now, **10 days of insurance period** is required for the payment of one day of job-seekers' benefit, compared to the previous 5 days.
- From 1 January 2012 the eligibility period of the job-seekers' benefit has been changed, from 5 years to 3 years.

Amendments to the conditions of accepting a suitable job offer

- Accepting a suitable job offer is mandatory for everyone receiving unemployment benefit, for those who do not receive unemployment benefit, it is **mandatory to accept enrolment in a public works programme** (otherwise they will no longer be entitled to social assistance).
- Even a job offer where the place of work is far away from the residence of the recipient has to be accepted, if the following conditions are fulfilled:
 - A job offer for a job necessitating more than 3 hours but less than 4 hours of daily commuting (for single parents, more than 2 hours of commuting) must be accepted, if the employer provides free transport.
 - A job offer for a job necessitating more than 4 hours of daily commuting must be accepted, if the employer provides free accommodation, food and an opportunity to use a bathroom.
 - Moreover, if daily commuting from the workplace is impossible, the job-seeker is only obliged to accept the job offer, if his/her family circumstances are not adversely affected. The administrative officer of the local government is entitled to investigate this circumstance and to issue a waiver.

As of January 2012 the START Extra and Plus schemes are going to be transformed.

Tax system

On 1st January 2012 the employer's social security contributions transformed into a tax (Social Contribution Tax). The targeted SSC allowance of the "START card" will be carried on in the new system as a tax allowance.

The complex system of the wage tax credit was abolished last year and for the next two years employees will be compensated temporarily through their employers with a mechanism that provides tax incentives (social contribution tax credit) for wage increases. This affects those who earn less than HUF 216,000.

Minimum wage

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From 1 January 2012 the minimum wage is 93 000 HUF/months.

12.2 *Future policy changes announced since 1st July 2012*

As set out by the 1997 reform, the method of calculation would have been changed in 2013, where the benefit calculation should have been based on gross wages. According to the modification of Act in 2012, the calculation system remains the same. Pensions are calculated from net wages and they are exempt of taxation.

From July 2013, pension benefits or early retirement benefits should have been suspended if the pensioner or early beneficiary works at public sector. This provision is aiming to prevent gaining income for the same activity from two sources.

From January 2013, the maximum amount of contribution base was abolished.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, benefits prior to retirement age, benefits for persons with changed working capacity disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.